Understanding Entrepreneurship – Answers

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INTRO

1. Think of an empty or unused space in your community. Then, brainstorm what kind of business could occupy that space that would have a positive impact on your community.

Near the entrance of my neighborhood, outside Belo Horizonte, there is an empty commercial space that nobody uses. I think it could become a **study café**: a quiet place with fast Wi-Fi, silent study rooms, group tables and healthy snacks. Right now, students who live in my area have to study at home or drive all the way to BH to find a good place to study. A study café would give teenagers a safe place to study and meet, create local jobs, and could sell food from small local producers, so the money stays in the community.

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Video: What is an Entrepreneur? / 10 Characteristics of Successful Entrepreneurs

1. Fill in the blank:

An entrepreneur is a person with an **idea** for a **product** or **service**. They decide to start a **business**, which brings this idea to life.

2. For yourself, mark whether you believe each characteristic is a strength, opportunity for improvement, or neutral.

Characteristic	Strength	Opportunity for improvement	Neutral
Curiosity	X		
Willingness to experiment			X
Adaptability			X
Decisiveness	X		
Self-awareness	X		
Risk tolerance		X	
Comfort with failure		X	
Persistence	X		
Innovative thinking			X
Long-term focus	X		

3. For the characteristic you view as your biggest strength, what experience(s) helped make that so?

My biggest strength is **persistence**. This year I am preparing for the law school entrance exam at FGV while finishing senior year. I study every day after school, I turned my free periods into study time, and I keep going even when a practice test goes badly. Having a goal that is far away and working on it a little every day taught me how to keep going when things get hard.

4. For the characteristic you view as your biggest opportunity for improvement, what is one thing you could do today to improve?

My biggest opportunity for improvement is **comfort with failure**. I get frustrated when I make mistakes. Today I could review my last practice test and write down each mistake as something to learn from, not as proof that I am bad at the subject. Seeing mistakes as information would make me less afraid to try new things.

Video: The Importance of Small Business

1. How many employees can a business have to be considered a small business?

Fewer than 500 employees.

2. What percentage of the American job market is made up of small businesses? What percentage of US sales are those small businesses accountable for?

Small businesses provide about 55% of all jobs in the US and account for about 54% of all US sales.

3. Since 1990, big businesses have eliminated 4 million jobs and small businesses have added 8 million jobs. What is at least one reason big businesses would be eliminating jobs while small businesses are adding them?

Big businesses try to cut costs to increase profits, so they replace workers with technology and automation, move jobs to other countries where labor is cheaper, or cut positions after mergers. Small businesses, on the other hand, are new and growing, so every time a new business opens or expands it needs to hire people, and many of them (restaurants, shops, services) depend on human work that can't easily be automated.

Article: 4 Types of Entrepreneurship: Which One is Right for You

1. Choose a small business in your area and describe the product or service it provides.

A family-owned bakery (padaria) near my house. It sells fresh bread every morning, cakes, coffee, cheese bread and snacks, and people from the neighborhood stop there on their way to work or school. It is a typical small business: local, run by the owners, with no plan to become a chain.

2. According to the article, what is something that can allow scalable startups to grow faster than other new businesses?

Gaining investors. Scalable startups usually start small (in a garage or dorm room), but they attract investors, and that money allows them to grow and scale up quickly.

3. Richard Montañez … Explain how this is an example of intrapreneurship.

Intrapreneurship is when an employee acts like an entrepreneur inside the company they already work for. Montañez didn't start his own business: he was a custodian at Frito-Lay, saw an opportunity for a new product, and used the company's resources to bring it to life. Frito-Lay backed the idea, and he grew inside the company, becoming a vice president.

4. How does social entrepreneurship differ from traditional business entrepreneurship?

In traditional entrepreneurship, the main goal is to make a profit. In social entrepreneurship, the main goal is to create positive change and help people, not to make money. It is often done through a non-profit or an initiative that focuses on issues like the environment, racial justice or underserved communities.

Infographic: The Entrepreneurial Journey

1. For each of the following scenarios, answer which phase of the entrepreneurial process you would be in:

a. You've purchased new equipment to reduce the number of manual tasks → **Phase 4: Manage It** (improving processes with more automation and better tools).
b. You've started to work on your idea in your free time after work/school → **Phase 2: Create It** (starting the venture "after hours").
c. You're talking with your friends about an idea that you have → **Phase 1: Dream It** (having an idea and talking about it with friends and family).
d. You've hired an employee to help with an increasing workload → **Phase 3: Grow It** (investing in staff to grow the business).

DO IT – CREATE: A Business Idea

Part I: Identify Problems, Challenges, Issues

1. List as many problems, challenges or issues that affect you, your school, or your community.

- There is no quiet place to study near my house; I have to study at home or go to BH.
- The commute from my neighborhood to Belo Horizonte is long and wastes a lot of time.
- I don't have time to cook or eat healthy on busy days.
- My phone distracts me when I'm studying.
- Stress and anxiety before big exams.
- My study notes and materials are spread across too many apps and notebooks.
- Seniors have to balance school with Brazilian entrance exams, and there is little support for that at school.
- Few healthy and affordable snack options at school, and long lines at lunch.
- Not enough quiet spaces to study during free periods.
- Too much plastic waste in the cafeteria.
- Lost and found is disorganized.
- Students forget important deadlines (college applications, exam registrations).
- Poor public transportation between my neighborhood and BH; people depend on cars.
- Heavy traffic on the road to the city.
- Few safe places for teenagers to hang out or study nearby.
- Small local producers (farmers, artisans) have trouble selling their products in the city.
- Litter on trails and environmental damage from mining in the region.
- Stray dogs and cats on the streets.
- Older neighbors have trouble using technology (apps, online banking).

Part II: Brainstorm Solutions

	Problem	Potential Solutions
1. You	No quiet, comfortable place to study near my house.	1) A study café near the neighborhood entrance, with silent rooms and Wi-Fi. 2) Rent the unused room in the neighborhood clubhouse as a study room at set hours. 3) A monthly "study pass" shared by students in the area to pay for the space.
	No time to cook or eat healthy on busy study days.	1) A weekly healthy meal-prep delivery made for students. 2) A snack-box subscription with healthy, ready-to-eat options. 3) A simple app that plans quick meals based on my schedule.
2. School	Seniors are stressed balancing school with Brazilian entrance exams, with little support.	1) A peer-tutoring program where students who are strong in a subject help others. 2) A shared bank of past exams and summaries made by students. 3) Organized study groups during free periods.
	Few healthy, affordable snacks and long lines at lunch.	1) A student-run healthy snack stand. 2) A pre-order system so students can pick up food without waiting in line. 3) A partnership with local producers to sell fruit boxes at school.
3. Community	Poor public transportation between the neighborhood and BH.	1) A carpool group/app for neighbors going to the same places. 2) A van service with fixed times for students and workers. 3) Improve existing vans by adding Wi-Fi and an app to track them in real time.
	Small local producers struggle to sell their products in the city.	1) A weekly local market in the neighborhood. 2) An online store / Instagram page that sells for several producers together. 3) A weekly delivery box with local products sent to people in BH.

Part III: Select a Business Idea

1. From the list of potential business ideas you brainstormed above, select what you consider to be the best business idea and explain why.

My best business idea is the **study café** near my neighborhood. First, it solves a problem I live every day: there is no good place to study close to home, so I'm passionate about it. Second, there is real demand: many students in my area are preparing for entrance exams and the ENEM and have the same problem. Study spaces already exist in Belo Horizonte, but not close to us, so I can improve on them by being nearby, open early and late, with silent booths, group rooms and

healthy snacks from local producers. It also doesn't need a huge investment to start: I could test it by renting a small room and inviting friends, and grow later. Finally, it uses skills I already have, like organization, discipline and knowing exactly what students need to focus.